

Table 7.4 Time Series Momentum (TMOM) Performance (1/1976–12/2014)

TMOM RULE	SPX	EAFE	REIT	GSCI	LTR
CAGR	11.78%	9.69%	14.43%	8.63%	9.17%
Standard Deviation	11.90%	11.86%	12.19%	15.23%	5.94%
Downside Deviation	9.47%	9.14%	9.37%	12.57%	4.15%
Sharpe Ratio	0.59	0.44	0.78	0.31	0.70
Sortino Ratio (MAR = 5%)	0.73	0.55	0.99	0.36	0.96
Worst Drawdown	–29.58%	–25.72%	–19.98%	–55.02%	–6.41%
Worst Month Return	–21.58%	–14.01%	–15.24%	–28.20%	–5.71%
Best Month Return	13.52%	14.06%	14.28%	22.94%	8.73%
Profitable Months	73.93%	75.64%	74.57%	77.56%	78.63%

Notice the reduction in downside deviation and worst drawdown. The results illustrate that time series momentum (TMOM) works better on a risk-adjusted basis than simply buying and holding the Ivy 5 asset classes on a standalone basis. Sharpe and Sortino ratios are uniformly better across the five asset classes.

Simple Moving Average (MA)

We repeat this exercise with a 12-month moving average (MA) strategy. The results are shown in [Table 7.5](#) and are similar to [Table 7.4](#): All generate higher Sharpe and Sortino ratios relative to a buy-and-hold strategy (shown in [Table 7.3](#)).